

Project Brief: Sales and Customer Analytics

Between December 2009 and December 2011 the business generated **£19.64M** from **39,516 orders** and **5,852 identified customers**. Average order value is £497.09, and the last month (December 2011) is partial.

Guest checkouts (13.1% of revenue, £2.58M) carry no customer ID and are excluded from customer-level metrics. The six sections below follow the six pages of the Power BI dashboard.

1. Revenue Concentration: 85.5% Depends on the UK

Problem. Revenue rests on one market and one season. No secondary market can offset a UK or Q4 shortfall.

Findings

- The UK generates £16.80M (85.5%) from 5,334 customers. The other 42 countries add £2.84M, and 38 of them are below 1% each.
- Germany (106 customers) and France (93) have the broadest secondary bases. EIRE (3 customers) and the Netherlands (22) are a few large accounts worth £1.14M.
- September to November delivers 29% of January to November revenue in both 2010 and 2011. November is 2.2 times the January to August monthly average (£0.65M).
- Growth is flat: +3.0% (January to November 2011 versus 2010).

Proposed fix. Expand Germany and France, assign account management to the Netherlands and EIRE, and use promotions and bundles to lift January to August (each +10% adds about £0.5M a year).

2. Long-Tail Catalog: 22% of Products Drive 80% of Revenue

Problem. Low-revenue products add inventory and fulfillment overhead without a proportional return.

Findings

- 284 of 4,688 products (6%) generate 50% of revenue, and 1,028 (22%) generate 80%. The bottom 2,344 products generate 4.6% (£0.91M).
- There is no single-product dependency. The top 10 products make up 8.0% of revenue, led by Regency Cakestand 3 Tier at £331K (1.7%).

Proposed fix. Audit the bottom 2,344 products to discontinue or bundle them. Focus stock and marketing on the 1,028 products behind 80% of revenue.

3. Retention Engine: 72% Repeat Buyers Drive 97% of Revenue

Problem. Revenue depends on repeat buyers, and more than a quarter of customers never reorder.

Findings

- 4,234 repeat customers (72.4%) generate £16.51M (96.7%). 1,618 one-time buyers (27.6%) generate £0.56M.
- The one-time share is 23.8% when the 598 customers whose first order was too recent to observe a second are excluded (367 of them are one-time buyers).
- A repeat customer is worth about £3,900 in lifetime revenue against £344 for a one-time buyer, 11 times more.
- The median time to a second order is 57 days. 31% of repeat customers return within 30 days, 63% within 90 days, and 37% take longer.

Proposed fix. Run a follow-up campaign (email or remarketing) at day 30 after a first order, with a reminder before day 57. Track second-order conversion within 60 days.

4. Four Customer Segments, One High-Value B2B Risk

Problem. Value sits in a handful of accounts, while a third of the base is inactive and not being reactivated.

Findings

- 42 customers hold 27% of identified revenue (£4.61M): 38 Potential Champions (£2.92M) and 4 Wholesale/B2B accounts (£1.68M, about £420,765 each).
- Core/Average is 3,830 customers and 65% of revenue. The top 10% of customers generate 63.9%.
- The Lost segment is 1,980 customers (34%) and 8.4% of revenue, averaging 461 days since their last order. 368 of them spent over £1,000 each (£0.86M).

Proposed fix. Assign dedicated account management to the 42 top accounts. Run a win-back campaign with a threshold offer for the 368 high-spend Lost customers.

5. Retention Peaks at About 22% in Month 2, Then Erodes

Problem. Retention falls steadily after month 2, which points to weak habit formation beyond the first repeat purchase.

Findings

- Average retention across 25 monthly cohorts is 21.0% in month 1 and 21.9% in month 2, then 17.9% by month 6 and about 15% in months 9 to 10.
- The month-12 rebound (18.3%) is seasonal. October and November returns average 24% and 28% of a cohort, against 13% in January and February.

Proposed fix. Add a loyalty or replenishment nudge in months 2 to 3. Target lifting month-6 retention from 17.9% to about 21%, timed ahead of September to November.

6. 51% of Customers Churned: £3.30M Revenue at Risk

Problem. Over half of identified customers have stopped buying, and Core/Average holds more revenue at risk than the Lost segment.

Findings

- 2,967 customers (51%) are churned (no purchase for 90+ days), holding £3.30M (17% of total revenue): Core/Average £1.76M (53%) and Lost £1.44M (43%). The top 100 churned Core/Average customers hold £0.88M.
- 589 customers who lapsed 91 to 180 days ago (£1.01M) are the most recoverable.
- 1,304 still-active customers already score a 50%+ churn probability (£1.06M).

Proposed fix. Rank outreach by churn probability and Monetary value: the top 100 churned Core/Average customers first, then the 589 recent lapses. Put the 1,304 at-risk active customers on a pre-emptive track.